

Response to Notice of Proposed Assessment

Global BioHealth Tax Department • August 2026

RESPONSE TO INFORMATION DOCUMENT REQUEST (IDR)

Date: August 18, 2026

To: Large Business and International (LB&I) Division, Internal Revenue Service

From: Global BioHealth Inc., Corporate Tax Department

Subject: Response to IDR #4 - FY2024 Form 6765 (Credit for Increasing Research Activities)

Dear Examining Agent,

This memorandum and the attached exhibits are submitted in response to IDR #4, which requested further substantiation of the \$4.2 million in Qualified Research Expenses (QREs) claimed by Global BioHealth Inc. under IRC Section 41 for the tax year ending December 31, 2024.

Substantiation of the Four-Part Test:

The Service questioned whether the software development costs associated with our "E-Clinical Trial Management System" met the statutory requirements for the R&D credit.

1. Permitted Purpose: The project aimed to create a new, proprietary algorithm for real-time anonymization of patient data, improving overall trial efficiency and data security.
2. Elimination of Uncertainty: At the project's inception, there was technical uncertainty regarding whether our existing database architecture could handle the latency requirements of the new encryption standard.
3. Process of Experimentation: Exhibit A contains the agile sprint logs and JIRA tickets detailing the iterative testing, simulation, and systemic failures encountered before the final build was stabilized.
4. Technological in Nature: The development fundamentally relied on principles of computer science and cryptographic engineering.

Capitalization under Section 174:

We affirm that all related domestic software development costs totaling \$12.5 million were properly capitalized and amortized over 60 months in accordance with the amended provisions of IRC Section 174.

We request a conference with the examination team upon your review of these materials to discuss dropping the proposed adjustments.